A hundred years later, princes and bankers were willing to extend far more credit to Columbus' successors, and they had more capital at their disposal, thanks to the treasures reaped from America. Equally important, princes and bankers had far more trust in the potential of exploration, and were more willing to part with their money. This was the magic circle of imperial capitalism: credit financed new discoveries; discoveries led to colonies; colonies provided profits; profits built trust; and trust translated into more credit. Nurhaci and Nader Shah ran out of fuel after a few thousand miles. Capitalist entrepreneurs only increased their financial momentum from conquest to conquest.

But these expeditions remained chancy affairs, so credit markets nevertheless remained quite cautious. Many expeditions returned to Europe empty-handed, having discovered nothing of value. The English, for instance, wasted a lot of capital in fruitless attempts to discover a north-western passage to Asia through the Arctic. Many other expeditions didn't return at all. Ships hit icebergs, foundered in tropical storms, or fell victim to pirates. In order to increase the number of potential investors and reduce the risk they incurred, Europeans turned to limited liability joint-stock companies. Instead of a single investor betting all his money on a single rickety ship, the joint-stock company collected money from a large number of investors, each risking only a small portion of his capital. The risks were thereby curtailed, but no cap was placed on the profits. Even a small investment in the right ship could turn you into a millionaire.

Decade by decade, western Europe witnessed the development of a sophisticated financial system that could raise large amounts of credit on short notice and put it at the disposal of private entrepreneurs and governments. This system could finance explorations and conquests far more efficiently than any kingdom or empire. The new-found power of credit can be seen in the bitter struggle between Spain and the Netherlands. In the sixteenth century, Spain was the most powerful state in Europe, holding sway over a vast global empire. It ruled much of Europe, huge chunks of North and South America, the Philippine Islands, and a string of bases along the coasts of Africa and Asia. Every year, fleets heavy with American and Asian treasures returned to the ports of Seville and Cadiz. The Netherlands was a small and windy swamp, devoid of natural resources, a tiny corner of the king of Spain's dominions.